Budget Ndio Story

Public Basic Learning Module 001

The Budget Policy Statement (BPS) 2026

Follow the Budget. Find the Story

Understanding how public money is planned, spent, and monitored.

Welcome. In the next 10 minutes, you will learn how Kenya's budget roadmap works and exactly where you fit in. No jargon. No confusion. Just the facts, in your language.

What is the BPS?

Forget the complicated name. The BPS is simply the government answering three questions out loud:

- Where are we now? (**How's the economy doing?**)
- Where do we want to go? (**What are our big goals?)**
- How much cash will we need for the trip? (**And how will we get it?**)

It's **tabled in Parliament every year by February 15th**—think of it as the government submitting its term paper before the final exam (which is the actual budget in April).

KE **Kenya Context:** BPS is the parent of t**he County Fiscal Strategy Paper (CFSP) .** Whatever the BPS prioritizes at the national level? That's what your county government has to align with when planning your local markets, health centers, and roads.

Think of the BPS as the roadmap before a long journey. The detailed budget in April is the actual trip. This document? It's the plan. And just like your maps app, it updates every year based on new traffic or in this case, new economic data.

In summary BPS undertakes the check-up of our economy, unveils government priorities and reveals revenue & borrowing plan. The BPS also sets budget ceilings for ministries, parliament, the judiciary and other govt departments (so that guys don't over budget beyond what's available)

The 5 Core Chapters of a BPS

1. Vision – **Development Agenda**
2. Reality – Economic Outlook
3. Numbers – Government Spending & Revenue
4. Counties – Devolution Allocation
5. Risks – Debt & Climate

Snapshot of Budget Policy Statement (BPS) 2026

Strategic Priorities for 2026

- Agriculture
- MSMEs
- Healthcare
- Housing
- Digital & Creative

Key Budget Numbers

- Spending: **KES 4.74T**
- Revenue: **KES 3.59T**
- Deficit: **KES 1.15T**

⚠ Debt Interest: **~KES 1.2T (pre-committed funds)**: **That's money that can't go to roads, teachers, or healthcare!**

Counties

- Counties: **KES 420B**
- Community Health: **Ksh 3.24B**
- Industrial Parks: **KES 3.25B**
- Equalisation Fund: **KES 9.6B**

⚡ Potential Risks: *what could go wrong?*

- Climate shocks; **Drought/floods cost unplanned money**
- Revenue gaps; **If businesses struggle, taxes drop**
- Debt pressure; **If shilling weakens, debt gets expensive**
- Devolution drama; **Counties' unpaid bills pile up**

"This is mature budgeting. The government is literally listing what could go wrong. Drought. Debt. Drama. Why does this matter? Because when you know the risks, you can spot them early and ask the right questions before crisis hits."

The Five Pillars in Detail

What the government is betting on in 2026 in detail:

🌽 **Agriculture**
Irrigation, crop diversification, improved agricultural value chain etc.

🏪 **MSMEs (Small Business)**
Hustler Fund expansion, strengthened NYOTA fund, business hubs in all 47 counties

🩺 **Healthcare**
Target: 35 million Kenyans covered by Universal Health Coverage plus SHA

🏗 **Housing**
Jobs in construction + affordable loans

💻 **Digital & Creative Sectors**
Fibre internet + backing film, music, fashion, etc.

Infrastructure & Enablers

- **More roads, railways, increase power connectivity, gas exploration**
- **The National Infrastructure Fund**
- **Sovereign Wealth Fund**

These are the government's five open tabs. If you're a farmer, a small business owner, an artist, this is where your opportunities live. Each pillar comes with actual money attached. Your job? Know which tab is yours.

Knowledge Check???

Let's see if you can explain the BPS to your crew.

1. The BPS is best described as:
A) The final, detailed list of every government project.
B) The government's strategic roadmap setting priorities and spending limits.
C) A tax collection manual.

2. If the BPS prioritizes "Agricultural Transformation," what should you expect to see in your county?
A) More police officers.
B) Potential investments in irrigation, fertilizer subsidies, or livestock programs.
C) Construction of a new stadium.

3. In FY 2026/27, the government projects a spending gap of Ksh 1.15 trillion. This is called the:
A) Surplus
B) Emergency Fund
C) Fiscal Deficit

4. **True or False: The BPS includes a section that openly discusses risks like drought or revenue** shortfalls.

Take Action

🔍 ***A Button: Track the numbers***

Check if the projects in your match BPS priorities

B Button: Use your voice

Show up to public participation informed

🚀 ***X Button: Monetize your talent***

Creative economy = your next *opportunity*

- ✅ Track budgets
- ✅ Join public participation
- ✅ Ask questions

Budget literacy = Civic power.